

*SECTION IV.

[*306]

OF INVESTMENT.

1. **Of investment of trust-money.** — Where the trust-money cannot be applied, either immediately or by a short day, to the purposes of the trust, it is the duty of the trustee to make the fund productive to the *cestui que trust* by the *investment* of it on some proper security.¹

¹ *Investment of trust funds.* — The trustees are to conduct themselves faithfully and exercise sound discretion, not with a view to speculation but to make a disposition of the trust funds, considering the probable income as well as the safety of the investment; *Emery v. Batchelder*, 78 Me. 233; *Miller v. Congdon*, 14 Gray, 116; *Lovell v. Briggs*, 2 N. H. 219; *Van Orden v. Van Orden*, 10 Johns. 31; *Roper on Legacies*, 411. If there are any directions in the instrument creating the trust, they are to be explicitly followed, as are any rules of court or statute provisions existing in any state. In the absence of these, the trustees must exercise their best judgment in good faith. Trustees should not make investments which will take the trust property beyond the jurisdiction of the court, and ordinarily they will be held responsible for the amount, if they do it, without being especially authorized. *Ormiston v. Olcott*, 22 Hun, 270; *Ormiston v. Olcott*, 84 N. Y. 339; *Burrill v. Shiel*, 2 Barb. 457; *Rush's App.* 12 Pa. St. 375; *Amory v. Green*, 13 Allen, 413; *Pet. Baptist Church*, 51 N. H. 424; trustees should not invest trust funds in personal securities; *Clark v. Garfield*, 8 Allen, 427; *Barney v. Saunders*, 16 How. 545; *Smith v. Smith*, 4 Johns. Ch. 281; *Spear v. Spear*, 9 Rich. Eq. 184; but the rule is now modified in some states, and in *Harvard Coll. v. Amory*, 9 Pick. 446, it was declared "all that can be required of a trustee to invest is, that he shall conduct himself faithfully and exercise a sound discretion. He is to observe how men of prudence, discretion, and intelligence manage their own affairs, not in regard to speculation, but in regard to the permanent disposition of their funds, considering the probable income, as well as the probable safety of the capital to be invested." There an investment in stocks of a manufacturing company and of an insurance were held to be within the authority of the trustee, and that is now adhered to; *Hunt, Appt.* 141 Mass. 515; *Brown v. French*, 125 Mass. 410; *Lovell v. Minot*, 20 Pick. 116; *New England Trust Co. v. Eaton*, 140 Mass. 532; *Kinmonth v. Brigham*, 5 Allen, 270. In *Bowker v. Pierce*, 130 Mass. 262, the trustee was not held responsible for the depreciation in railroad stocks though he continued to hold them while they were falling in value, but was held responsible for depreciation in bank stock bought in his own name, in *Gilbert v. Welsch*, 75 Ind. 557; also allowed to invest in new stock of a manufacturing company; *Daland v. Williams*, 101 Mass. 571; railroad bonds are regarded as personal securities; *Allen v. Gaillard*, 1 S. C. 279; *King v. Talbot*, 50 Barb. 453; mortgage bonds of a horse railroad were not sanctioned; *Judd v. Warner*, 2 Dema. (N. Y.) 104; to invest "as they think best for the benefit of the poor" does not limit them to real estate securities; *Scott v. Marion*, 39 Ohio St. 153; the investment must secure at least a legal rate of interest; *Williams v. Williams*. 35